FRS Interviewer Guide to

Savings

Mortgages

Pensions

Benefits and Credits

Updated February 20

Note: this Guide is for interviewer use only.

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The FRS caters for these possibilities by asking whether interest recorded is 1) after tax, 2) before tax but tax has been/will be paid, or 3) before tax because the person is a non-taxpayer.

Non-taxpayers, e.g. children, students, non-working spouses, and some retired people, can fill in a form to register their accounts with HM Revenue and Customs,

A note on the Child Trust Fund (CTF) and Junior ISAs

Introduced in April 2005, the CTF was a long-term investment & savings account for children born between 1 September 2002 and 2 January 2011. Eligible children received a starter voucher of £250 to be paid into an account from a registered provider. A further payment was received wgn16J(ng)-4(he)3( )13(c)8(chi)6(l)6J(ng)ur14(n)]TJETQ0

Basic (or Starter) Bank Accounts are offered at high street ba ks and building societies, and the Post Office has introduced the Post Office Card Account for this purpose. These should be coded separately at the question ‘Accounts’ but thereafter will be treated in the same manner as a current account.

Individual Savings Account (4)(ISA)

ISAs are tax-free savings accounts. They were introduced to replQ& 1>BDC q0.000006253 0 419.64 595.32 reW*nBT/F2

Stocks, Shares, Bonds, Debentures, other securities
Types of investment usually bought and sold on the financial market. A **share** is a single unit of ownership in a company. The units are of equal value, hence

Income ,onds (NS&I)
These bonds have a minimum purchase of £500, and a maximum of £1

Fixed Rate Savings Bonds

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This allows all finances to be kept under ‘one roof’ - rather than having a separate mortgage and current account, both are kept together and the funds in the current account are used to offset the interest of the mortgage balance. So for example

Atrrower may have a mortgage balance of £60,000 and £2,000 in the current account (their salary is likely to

example, by qualifying for Home Responsibilities Protection (HRP). Most employers take NI contributions out of your wages. If you are self-employed, you are responsible for paying your

There are two main tys(n tC t)-4oftpa(n t(t)-4i)15(n)3(ali)6 ts(3(nsai)6(n)

running them, including via an insurance company or master trust provider.

Individual Personal pensions

Unlike occupational pensions, this type of pension is not connected to one's workplace. An individual personal pension is one which people set up for themselves, by contacting a financial services provider. This means that individuals can continue to contribute to the same personal pension if they move jobs. These pensions are the most common arrangement for people who are self-employed.

These schemes are

Self-Invested Personal Pension Schemes (SIPPs)
SIPPs are another type of DC pension wher4(P)4 the individual contr4(P)ols the managem4(P)4nt of their own investm4(6)4nts4(P)4ctly.

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value too. Each time you take a lump sum, normally a quarter of it is tax-free and the rest will be taxed. You may need to move into a new pension plan to do this.

Claimants who don’t have children under 20 years old in full-time education receive an initial payment 8f £2,500

here, the tenant will not be able to get the reduction. CTR is not available in Northern Ireland.

Disability Living Allowance (DLA)
Persons under 65 can claim for DLA if they need help with personal care and/or with getting around. Once an initial claim is made there is no upper age limit. DLA can be paid even if no-one is giving the care needed. There are two components:

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Employment and Support Allowance (ESA)
ESA has replaced Incapacity Benefit and Income Support for the d.000pabled. All cla.000mants receive a 'Main Phase' payment along with either a 'work related activity' or 'support' component depending on how the claimant's condition affects their ability to work. Several preiums are ava.000lable on top of the basic payment.

Extended Payment of Housing Benefit or Council Tax Reduction
These benefits may be received for a further 4 weeks by

Council tenants on these benefits

Industrial Injuries Disablement Benefit

Best Start Grant
From October 2018, the Sure Start Maternity Grant was replaced **in Scotland** by Best Start Grant and Best Start Foods payments.

Under the Best Start Grant, qualifying families in Scott GtE G[m)-3(-)-3(i) ( )6(G)-4e(l)5((m)-v)-14e £600heng th 7 ofstby

using the toilet, communicating and understanding,

Social Fund
Repayable interest-free loans.

transfer to ESA.) The employer may also add 'made-up' pay. Note: SSP should only be recorded in the last/usual pay.

Universal Credit (UC) ***m***

Universal Credit (UC) is now the primary working age benefit.

	couple	£24.50
severe disability		
	single	£66.95

couple (both qualify)	£133.90